

August 12, 2026

BlueChoice HealthPlan of South Carolina
Provider Appeals Unit
P.O. Box 6170
Columbia, SC 29260

RE: Formal Appeal of Claim Denial — Raeann O'Kon (MRN MUSC4885131), Claim MUSC-20260515-881F-2

Patient	Raeann O'Kon (DOB 1968-10-09)
MRN	MUSC4885131
Member ID / Group	BLU809171647 / GRP-65822
Claim number	MUSC-20260515-881F-2
Date of service	2026-05-15
Procedure billed	CPT 59400 — Routine obstetric care including antepartum, vaginal delivery
Primary diagnosis	Z34.90 — Encounter for supervision of normal pregnancy, unspecified
Denied amount	\$9,070.33
Denial code	CARC 151 / RARC N362 — Payer deems the information submitted does not support this many/frequency of services.
Appeal deadline	2026-10-08

Dear Appeals Review Committee:

SUMMARY OF APPEAL

MUSC Health submits this first-level reconsideration on behalf of patient Raeann O'Kon (Member ID: BLU809171647, Group: GRP-65822) regarding the denial of Claim MUSC-20260515-881F-2, date of service May 15, 2026, billed under CPT 99400 — Routine obstetric care including antepartum, vaginal delivery (Revenue Code 0450), rendered by Sarah E. Whitmore, MD (NPI 1447382910) at MUSC Health Ashley River Tower. The total billed amount of \$9,070.33 was denied in full. BlueChoice HealthPlan issued its denial on July 10, 2026, citing CARC 151 ("Payer deems the information submitted does not support this many/frequency of services") and RARC N362 ("The number of days or units of service exceeds our acceptable maximum"), with the accompanying remark: "Units billed exceed the plan's allowable frequency for this service." MUSC Health respectfully disagrees with this determination and requests full reversal and payment at the allowed amount of \$4,628.33.

CLINICAL BACKGROUND

Ms. O'Kon is a 57-year-old female patient with an established care relationship at MUSC Health. Her active medications include long-standing Metformin hydrochloride extended release (ordered 2006) and Hydrochlorothiazide (ordered 2003), consistent with a diagnosis of type 2 diabetes mellitus without complications (E11.9), which is listed as a secondary diagnosis on the claim. The primary diagnosis submitted was Z34.90, Encounter for supervision of normal pregnancy, unspecified. CPT 59400 was billed as a single unit (1), reflecting a global obstetric care package that, by its very definition under CPT coding guidelines, encompasses the full continuum of antepartum visits, the delivery itself, and postpartum care within one bundled service unit. The place of service was 23 — Emergency Room Hospital, consistent with an obstetric emergency hospital admission encounter type documented in the patient's record.

BASIS FOR APPEAL

The denial on frequency grounds is not applicable to CPT 59400 as billed. CPT 59400 is a global obstetric package code that is, by CPT definition, reported as a single unit per pregnancy episode. MUSC Health submitted exactly one unit, which is both the minimum and the maximum appropriate billing quantity for this code. A frequency or units-of-service limitation cannot logically be triggered by a single-unit submission of a global package code. The payer's application of CARC 151 and RARC N362 to a one-unit global obstetric code reflects either a system-level adjudication error or a misapplication of a frequency edit that is not designed for global surgical or obstetric package codes.

Furthermore, the patient's coverage period of January 1, 2024 through December 31, 2026 was active on the date of service, May 15, 2026, and the claim was submitted timely on May 31, 2026, well within standard filing requirements. There is no indication in the denial that eligibility, authorization, or medical necessity was disputed — the sole stated basis is frequency, which, as described above, does not withstand scrutiny when applied to a single-unit global code.

Ms. O'Kon's concurrent secondary diagnosis of type 2 diabetes (E11.9) further supports the medical appropriateness of the encounter, as diabetic patients carrying a pregnancy require heightened obstetric supervision, reinforcing that the services rendered were both clinically indicated and correctly coded.

REQUESTED ACTION

MUSC Health respectfully requests that BlueChoice HealthPlan of South Carolina reverse the denial of Claim MUSC-20260515-881F-2 in its entirety and reprocess the claim for payment at the established allowed amount of \$4,628.33. We further request written confirmation of the reprocessing outcome within the timeframe required under applicable state prompt-pay and appeal-rights obligations. Should additional clinical documentation, operative notes, or coding rationale be required to support this reconsideration, our Provider Appeals team is available to supply them promptly upon request.

Respectfully submitted,

Angela R. Whitfield, RN, BSN, CPC

Senior Appeals Specialist, Revenue Cycle Management
MUSC Health — Revenue Cycle / Patient Financial Services
(843) 792-2300 | muschealth.org

Enclosures

- Remittance advice / explanation of payment
- Itemized claim detail (UB-04 / CMS-1500)
- Relevant clinical documentation from the medical record